

Retail Research	IPO Note
Sector: Water Treatment	Price Band (Rs): 665 - 701
18 th December 2024	Recommendation: Subscribe at Cut-Off Price

Concord Enviro Systems Ltd.

Company Overview:

Concord Enviro Systems Ltd (CESL) is a global provider of water and wastewater treatment and reuse solutions, including zero liquid discharge (ZLD) technology for various industries. It mainly operates under industrial water segment and helps clients to achieve Zero Liquid Discharge (ZLD). The company has built in-house capabilities to develop solutions across the entire value chain including designing, manufacturing, installation and commissioning, operation and maintenance (O&M) and digitalization solutions including Internet of Things (IoT). The sources through which the company generates its revenue includes (i) sale of systems & plants; (ii) operations & maintenance of installed plants; and (iii) supplying consumables & spares for installed plants. As of Aug'24, CESL's order book stood at Rs 501.7 cr, of which 74.5% (~Rs 373.8 cr) comprises of systems & plant orders, 22.3% (~Rs 111.9 cr) comprises of O&M services and the remaining 3.2% (~Rs 16.1 cr) is for consumables, spare parts and other after-sale services.

Key Highlights:

- Expertise in ZLD technology in India:** CESL is an integrated solutions provider of industrial wastewater reuse and ZLD solutions with global presence having inhouse capabilities spanning across the value chain. As of FY24, it is amongst the 2nd largest ZLD solutions providers in India in terms of revenue and one of the major Indian manufacturers of offshore de-salination systems. Further, the company has been supporting its customers to achieve water conservation and sustainability goals through the recycling solutions.
- Integrated operation with backward integrated:** The Company design, manufacture, install, operate and maintain industrial wastewater reuse and ZLD solutions. The company develops and provide industry specific designs, cast its own membranes, and ensure that systems and plants are fully integrated. The integrated operation helps lower the cost of ownership during the product life cycle. It has its own inhouse R&D facilities with 4 patents already being granted and 9 are under application stage.
- Established presence in international markets:** CESL has established its presence in international markets where it employs a differentiated approach for entering and deepening presence in each of the market so as to address the unique characteristics of each market viz regulatory landscape, market size, competitive landscape and scope for products etc. As of Aug'24, the company exported its products and services to over 14 countries in Asia, North Africa, Latin America and Europe with 42% of revenue (FY24) comes from export. The company focuses on developing and commercializing differentiated wastewater treatment and ZLD solutions in the international market.
- Diversified customer base:** As of Aug'24, the company has 289 domestic and 21 international customers. The company offers its services to a diverse of set of customers across various industries like pharmaceutical, chemicals, food and beverage, defense & offshore, auto & auto ancillaries, steel and textile. Further, the company boasts a history of high customer retention and derives a significant portion of its revenue from repeat businesses. The high retention is driven by successful execution and focus on high quality products, leading edge technology and customer satisfaction.

Valuation: The company, at the Lower/Upper price band of Rs 665/701, is valued at a P/E multiple of 32.9x/34.4x, respectively, of its FY24 earnings on post-issue capital. The valuation, compared with close peers, appears to be attractive, along with a superior margin profile. We recommend investors subscribe to the IPO at the Cut-Off price.

Issue Details	
Date of Opening	19 th December 2024
Date of Closing	23 rd December 2024
Price Band (Rs)	665 - 701
Offer for sale (shares)	46,40,888 (Rs 325 cr at Upper Price Band)
Fresh Issue (Rs cr)	175
Issue Size (Rs cr)	484 - 500
No. of shares	72,72,467 - 71,37,322
Face Value (Rs)	5
Post Issue Market Cap (Rs cr)	1,385 - 1,451
BRLMs	Motilal Oswal Investment Advisors, Equirus Capital
Registrar	Link Intime India Pvt Ltd
Bid Lot	21 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NIB shares	15%

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Investment in wholly owned subsidiary CEF for financing capex requirements for the greenfield project to develop an assembly unit for assembling systems and plants for treatment of water, waste water and related membrane modules	25.0
Investment in wholly owned subsidiary Rochem Separation Systems (India) Pvt Ltd for financing capex requirements for the brownfield project to expand the manufacturing facilities, storage & supporting activities	10.5
Funding capex requirements of the company for purchase of Plant and Machinery	3.2
Investment in wholly owned subsidiary Concord Enviro FZE for prepayment or repayment, in full or in part, of all or a portion of certain outstanding borrowings availed by CEF	50.0
Investment in wholly owned subsidiary CEF, for funding working capital requirements	20.0
Investment in JV Roserve Enviro Pvt Ltd to grow pay per use/pay as you treat business	10.0
Investment in technology and other growth initiatives for access to new markets	23.5
General Corporate Purposes	32.8
Total proceeds from fresh issue	175.0

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	1,10,89,800	60.9
Public & Others	71,10,000	39.1
Total	1,81,99,800	100.0

Post Issue @ Upper Price Band	No. of Shares	%
Promoter & Promoter Group	1,06,35,280	51.4
Public & Others	1,00,60,954	48.6
Total	2,06,96,234	100.0

Source: RHP, SSL Research

Key Financials

Particulars (Rs cr)	FY22	FY23	FY24	5MFY25
Revenue from operation	329.4	343.2	496.9	206.2
EBITDA	53.5	43.0	69.0	14.2
PAT	15.6	5.1	42.1	1.2
EBITDA Margin (%)	16.2	12.5	13.9	6.9
PAT Margin (%)	4.7	1.5	8.5	0.6
ROE (%)	5.8	1.8	13.1	-
ROCE (%)	9.2	6.3	13.1	-
PE (x)*	81.6	248.6	30.3	-

Source: RHP, SSL Research

*Pre-issue based on upper price band

Risk Factors

- **Manufacturing risk:** The company is dependent on its ability to manage its manufacturing facilities in Vasai, Maharashtra and Sharjah, UAE; which are subject to various operating risks including those beyond CESL's control such as the breakdown or failure of equipment, industrial accidents, severe weather conditions and natural disasters. Any significant malfunction or breakdown of machinery, equipment, automation systems, IT systems or any other part of manufacturing process may have an adverse effect on the business, result of operations and financial condition.
- **Customer concentration risk:** As of FY22/FY23/FY24/5MFY25, the company derived 46.9%/50.2%/62.5%/68.6% of its revenue respectively from its Top 10 customers. Any failure to expand sales volumes, maintain relations from its top 10 customers, any cancellations, delay in execution or any reduction in orders may have an adverse effect on the business, result of operations and financial conditions.
- **Order book risk:** The company's order book comprises of anticipated revenue from the unexecuted portions of existing contracts and from advance purchase & work orders for which the company is yet to receive final purchase or work orders. Further, there can be no assurance that orders will not be short closed, cancelled or reduced or that customers will fulfil their payment obligations and other obligations in a timely manner or at all in accordance with the agreements. Any cancellation, termination or suspension of orders by the customers may have an adverse effect on the business, result of operations and financial conditions.
- **Raw material sourcing risk:** The company's timely execution of orders depends on its ability to source sufficient amounts of raw materials such as membranes, pumps, electrical instrumentation, board panels, cabinets, tubes, pipes, steel, cleaners, chemicals and spares at competitive prices. The company relies on a number of suppliers for these components and does not enter into any long-term contracts with third-part suppliers for the components. Thus, any failure to source the raw materials in a cost-effective manner may have an adverse effect on the business, result of operations and financial conditions.

Growth Strategies

- Add new capacity for manufacturing membrane modules, WHE modules and containerized plants.
- Expand into new sectors for wastewater reuse and zero liquid discharge.
- Expand presence in existing geographies and enter new markets.
- Focus on growing new business initiatives such as design and installation of CBG Plants.
- Cross sell new products to existing customers.
- Leverage in-house capabilities to address the growing demand for IoT applications in the water and wastewater sector.
- Grow the "pay per use/pay as you treat" business model.

Revenue Mix – Geographical split

Particulars	FY22		FY23		FY24		5MFY25	
	Rs cr	% of Total	Rs cr	% of Total	Rs cr	% of Total	Rs cr	% of Total
Within India	255.3	77.5	260.7	76.0	289.3	58.2	114.6	55.6
Outside India	74.0	22.5	82.5	24.0	207.5	41.8	91.5	44.4
Total	329.4	100.0	343.2	100.0	496.9	100.0	206.2	100.0

Source: RHP, SSL Research

Revenue Mix – Industry wise

Particulars	FY22		FY23		FY24		5MFY25	
	Rs cr	% of Total	Rs cr	Apr'24-Aug'24	Rs cr	% of Total	Rs cr	% of Total
Food & Beverage	39.7	12.1	53.5	15.6	196.6	39.6	82.4	40.0
Pharmaceuticals	84.9	25.8	81.4	23.7	80.9	16.3	30.6	14.9
Chemicals	61.5	18.7	47.2	13.7	52.2	10.5	18.2	8.8
Government	5.2	1.6	-	-	-	-	18.2	8.8
Textiles	11.1	3.4	10.2	3.0	8.3	1.7	3.6	1.8
Defence	15.2	4.6	25.5	7.4	33.3	6.7	1.4	0.7
Leachate	16.9	5.1	4.7	1.4	0.8	0.2	0.3	0.2
Others	94.8	28.8	120.8	35.2	124.8	25.1	51.4	24.9
Total	329.4	100.0	343.2	100.0	496.9	100.0	206.2	100.0

Source: RHP, SSL Research

Revenue Mix – Segment wise

Particulars	FY22		FY23		FY24		5MFY25	
	Rs cr	% of Total	Rs cr	% of Total	Rs cr	% of Total	Rs cr	% of Total
Systems & Plants	163.1	49.5	160.9	46.9	296.2	59.6	99.0	48.0
Operation & Maintenance Services	79.8	24.2	94.7	27.6	97.3	19.6	66.2	32.1
Consumables & spare parts	86.4	26.2	87.6	25.5	103.4	20.8	41.0	19.9
Total	329.4	100.0	343.2	100.0	496.9	100.0	206.2	100.0

Source: RHP, SSL Research

Order Book – Segment wise

Particulars	FY22		FY23		FY24		5MFY25	
	Rs cr	% of Total	Rs cr	% of Total	Rs cr	% of Total	Rs cr	% of Total
Systems & Plants	65.1	41.2	283.6	74.3	354.4	76.5	373.8	74.5
Operation & Maintenance Services	75.5	47.8	87.5	22.9	87.6	18.9	111.9	22.3
Consumables & spare parts	17.3	11.0	10.5	2.8	21.2	4.6	16.1	3.2
Total	157.9	100.0	381.7	100.0	463.2	100.0	501.7	100.0

Source: RHP, SSL Research

Installed Capacity & Utilization

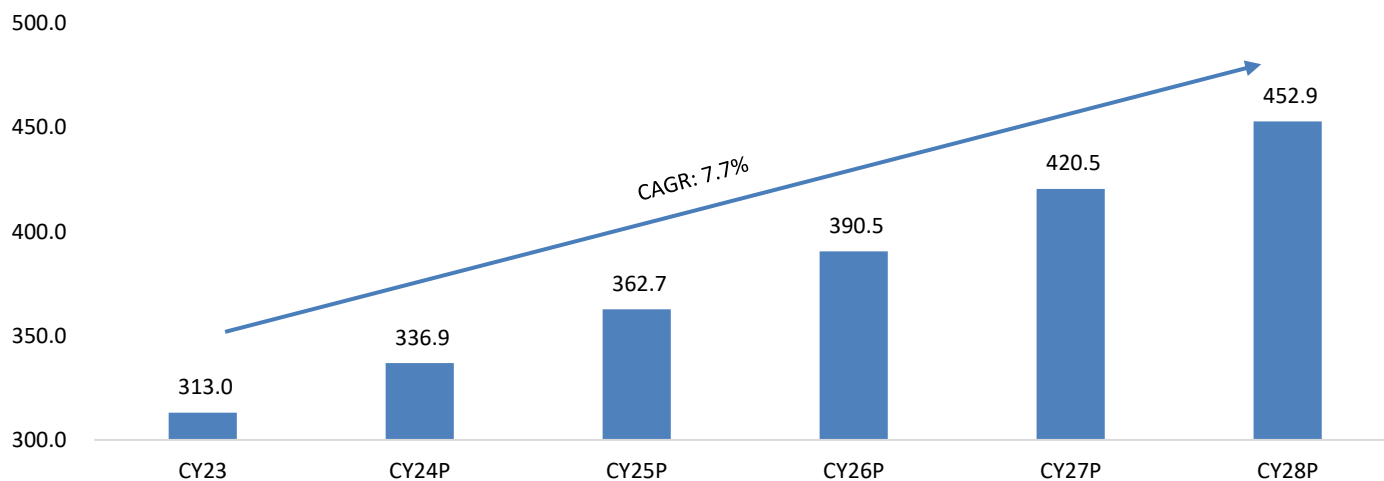
Particulars	FY22	FY23	FY24	5MFY25
Vasai Facility				
Modules				
Installed Capacity (Nos)	11,000	11,000	11,000	4,583
Actual Production (Nos)	2,700	4,180	4,420	1,142
Capacity Utilization (%)	24.5	38.0	40.2	24.9
Systems				
Installed Capacity (Nos)	600	600	600	250
Actual Production (Nos)	206	223	219	83
Capacity Utilization (%)	34.3	37.2	36.5	33.2
Sharjah Facility				
Modules				
Installed Capacity (Nos)	6,000	6,000	6,000	2,500
Actual Production (Nos)	2,227	681	1,849	516
Capacity Utilization (%)	37.1	11.4	30.8	20.6

Source: RHP, SSL Research

Industry Overview

The **Global Water & Wastewater Treatment Market** which encompasses the revenue generated from the sale of systems and services designed to manage and treat water and wastewater, was valued at USD 313 bn in CY23 and is projected to reach USD 453 bn by CY28P, growing at a CAGR of ~7.7% between CY23-CY28P. The growth until CY23 can be attributed to several factors like stringent government regulations, private investments for water treatment plants, policies focusing on river & water source cleaning. Going forward, the growth will likely be driven by increasing demand for efficient and sustainable water management solutions, particularly in North America, India, Asia Pacific and the Middle East and African regions.

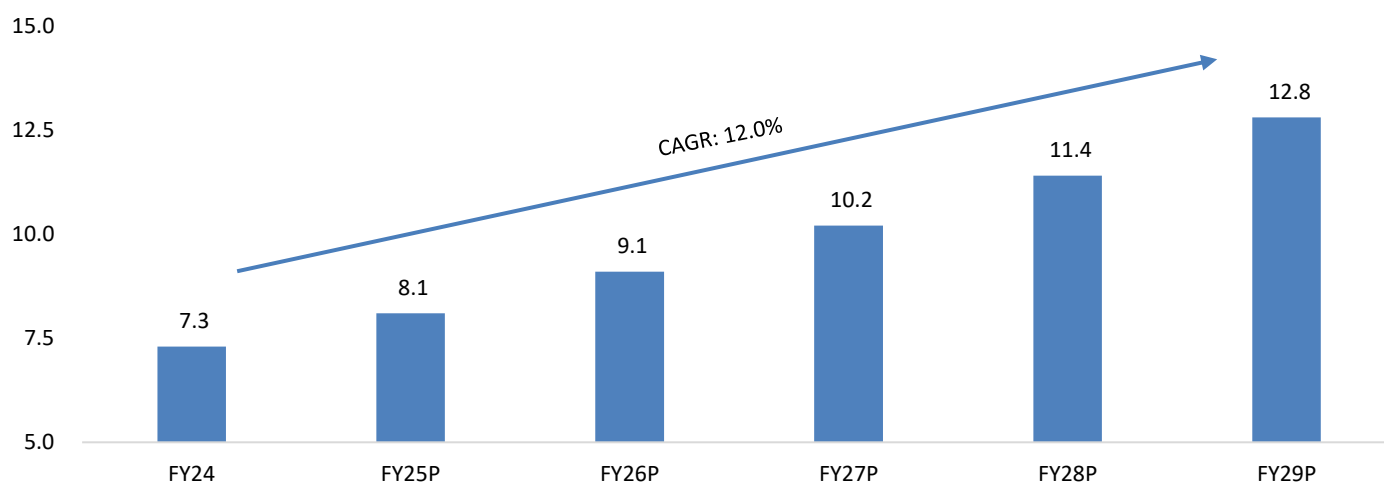
Global Water & Wastewater Treatment Solutions Market (USD bn)



Source: RHP, SSL Research

The **Indian Water & Wastewater Treatment Market** was valued at USD 7.3 bn in FY24 and is expected to grow at a CAGR of 12.0% between FY24-FY29P to reach USD 12.8 bn by FY29P, driven by economic imperative of efficient water management. Intensified concerns over water scarcity in the future will lead to stringent regulations on effluent treatment and are expected to prompt a significant shift towards reducing freshwater usage across various sectors and municipalities.

Indian Water & Wastewater Treatment Solutions Market (USD bn)



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
Particulars (Rs cr)	FY22	FY23	FY24
Revenue from Operations	329	343	497
YoY growth (%)	-	4.2	44.8
Cost Of Revenues (incl. Stock Adj.)	138	145	263
Gross Profit	191	198	234
Gross margins (%)	58.0	57.7	47.1
Employee Cost	52	58	71
Other Operating Expenses	86	97	94
EBITDA	53	43	69
EBITDA margins (%)	16.2	12.5	13.9
Other Income	8	7	15
Interest Exp.	19	19	18
Depreciation	25	24	22
PBT	18	7	45
Share of profit / (loss) of joint ventures	1	-	-1
Tax	2	2	3
PAT	16.5	5.5	41.4
PAT margin (%)	5.0	1.6	8.3
EPS	8.6	2.8	23.2

BALANCE SHEET			
Particulars (Rs cr)	FY22	FY23	FY24
Assets			
Net Block	74	68	61
Capital WIP	-	-	1
Intangible Assets	26	27	28
Intangible Assets under development	-	-	1
Right of use assets	50	44	15
Other Non-current Assets	60	80	85
Current Assets			
Inventories	134	150	154
Trade receivables	128	106	171
Cash and Bank Balances	29	82	32
Short-term loans and advances	1	-	-
Other Current Assets	34	34	79
Total Current Assets	327	373	437
Current Liabilities & Provisions			
Trade payables	74	87	116
Other current liabilities	16	45	17
Short-term provisions	2	2	2
Total Current Liabilities	92	134	135
Net Current Assets	235	238	302
Total Assets	445	458	492
Liabilities			
Share Capital	-	9	9
Reserves and Surplus	268	272	313
Total Shareholders' Funds	269	281	323
Minority Interest	-	-	-
Total Debt	126	131	153
Long Term Provisions	4	6	8
Lease Liabilities	46	39	5
Other Long-Term Liabilities	-	-	3
Total Liabilities	445	458	492

Cashflows (Rs cr)	FY22	FY23	FY24
Cash flow from Operating Activities	49	117	(35)
Cash flow from Investing Activities	(28)	(50)	(3)
Cash flow from Financing Activities	(12)	(27)	(4)
Free Cash Flow	77	123	(25)

RATIOS			
Particulars	FY22	FY23	FY24
Profitability			
Return on Assets (%)	2.9	0.9	6.7
Return on Capital Employed (%)	9.2	6.3	13.1
Return on Equity (%)	5.8	1.8	13.1
Margin Analysis			
Gross Margin (%)	58.0	57.7	47.1
EBITDA Margin (%)	16.2	12.5	13.9
Net Profit Margin (%)	4.7	1.5	8.5
Short-Term Liquidity			
Current Ratio (x)	1.7	1.5	1.6
Quick Ratio (x)	1.0	0.9	1.1
Avg. Days Sales Outstanding	142	113	126
Avg. Days Inventory Outstanding	149	159	113
Avg. Days Payables	82	92	85
Fixed asset turnover (x)	4.5	5.0	8.1
Debt-service coverage (x)	0.3	0.2	0.4
Long-Term Solvency			
Total Debt / Equity (x)	0.5	0.5	0.5
Interest Coverage Ratio (x)	2.0	1.4	3.5
Valuation Ratios			
EV/EBITDA (x)	25.7	30.8	20.3
P/E (x)	81.6	248.6	30.3
P/B (x)	4.8	4.5	4.0
EV/Sales (x)	4.2	3.9	2.8

Source: RHP, SSL Research

Peer Comparison

Particulars (Rs cr)	Concord Enviro Systems Ltd.	Praj Industries Ltd	Ion Exchange (I) Ltd.	Triveni Engg. and Ind. Ltd.	VA Tech Wabag Ltd.	Thermax Ltd
CMP (Rs)	701.0	824.9	726.0	458.2	1,883.0	4,796.5
Sales	496.9	3,466.3	2,347.8	6,151.4	2,856.4	9,323.5
EBITDA	69.0	387.8	271.9	626.4	375.7	797.4
Net Profit	41.4	283.4	195.4	395.2	250.4	643.2
Mkt Cap.	1,450.8	15,162.7	10,647.3	10,029.3	11,710.5	57,153.3
Enterprise Value	1,426.0	14,994.3	10,631.2	11,363.9	11,551.2	57,922.7
EBITDA Margin (%)	13.9	11.2	11.6	10.2	13.2	8.6
Net Margin (%)	8.3	8.2	8.3	6.4	8.8	6.9
P/E (x)	34.4	53.5	43.9	25.4	47.7	83.7
EV/EBITDA (x)	20.7	38.7	39.1	18.1	30.7	72.6
RoE (%)	13.1	22.2	19.2	13.6	13.8	14.5
RoCE (%)	13.1	30.4	24.2	13.6	19.6	15.5
EV/Sales (x)	2.9	4.3	4.5	1.8	4.0	6.2
Order Book	463.2	1,223.4	11,448.4	3,546.0	3,855.0	9,353.0
Order Book/Sales (x)	0.9	0.4	4.9	0.6	1.3	1.0

The data is based on FY24 financial data.

For Concord Enviro Systems Limited the Market cap, PE(x), and EV/EBITDA (x) are calculated on post-issue equity share capital based on the upper price band.

CMP as on 17th December, 2024.

Source: RHP, SSL Research

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IRDA/RW/IR2/2015/081 | IRDA/RW/IR1/2016/041 | IRDA: CA0103

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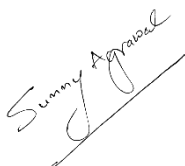
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